

# BEHAVIORAL ANALYSIS OF RETURNS AND SECOND PURCHASE AT FREE PEOPLE

## Problem Statement

Why do first-time customers who returned their order fail to make a second purchase?

## Our Goal

To understand why first-time Free People customers who return an item do not make a second purchase, and to identify the behavioral frictions across the return journey and uncover actionable opportunities to increase second purchase.

## Methodology

### PROBLEM FRAMING

Behavioral framing of the return journey using COM-B to identify potential barriers to repurchase

### MARKET INSIGHTS

Integrating survey data, customer insights, and competitor benchmarking to understand return behaviors

### BEHAVIORAL ANALYSIS

Identifying behavioral frictions and decision barriers that prevent second purchase after returns

### INTERVENTION DESIGN

Designing behaviorally informed interventions to increase re-engagement and second purchase

## Behavioral Diagnosis (COM-B)

### Capability

Customers lack confidence in making purchase decisions

- Limited clarity on fit, sizing, and product attributes
- Difficulty anticipating real-life appearance and usage

LEADS TO HIGH UNCERTAINTY AND EXPECTATION MISMATCH

### Opportunity

The return environment does not effectively support re-engagement

- Return processes are transactional, not re-engaging
- Limited post-return communication or guidance

CUSTOMERS EXIT THE JOURNEY INSTEAD OF CONTINUING IT

### Motivation

Returns weaken motivation to repurchase

- Expectation mismatch reduces satisfaction and trust
- Lower perceived value after return experience

DECREASES WILLINGNESS TO COME BACK



## Key Competitors Analysis



## Key Behavioral Insights & Interventions

### Recommendations

Retention after returns is driven by reducing uncertainty and enabling re-engagement.

#### ✓ UNCERTAINTY REDUCTION

Reduce fit uncertainty at the point of purchase through clearer size guidance and simplified choice architecture (uncertainty reduction, choice overload)

#### ✓ MENTAL SIMULATION

Use motion-based video to help customers better anticipate product fit and styling before purchase (mental simulation, expectation calibration)

#### ✓ SALIENCE

Make potential mismatch attributes more salient through styling tips (sheer fabric, oversized cut, short torso length, low stretch) so customers can better anticipate fit and feel before purchase (salience, limited attention, regret avoidance)

#### ✓ RE-ENGAGEMENT NUDGING

Leverage the return moment with personalized recommendations and nudges to encourage second purchase (timing effect, nudging, habit formation)



Ideal Customer Persona

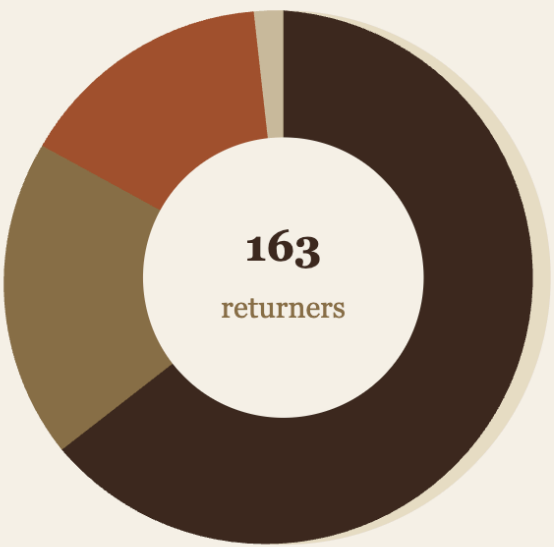


### The Core Returning Customer

A survey-based profile of Free People's most common high-value returning customer, who shops frequently and treats returns as part of the shopping process.

## Why do they return?

Return reasons



- Sizing mismatch 74%
- Material mismatch 33%
- Quality defect 22%
- Color mismatch 17%
- Changed mind 17%

- Sizing mismatch is the main reason for returns, affecting 74% of returners. Most other return reasons also seem to come from the same issue: what customers expect online does not fully match what they receive in real life

## Does the return experience matter?



Top Keywords related to experience

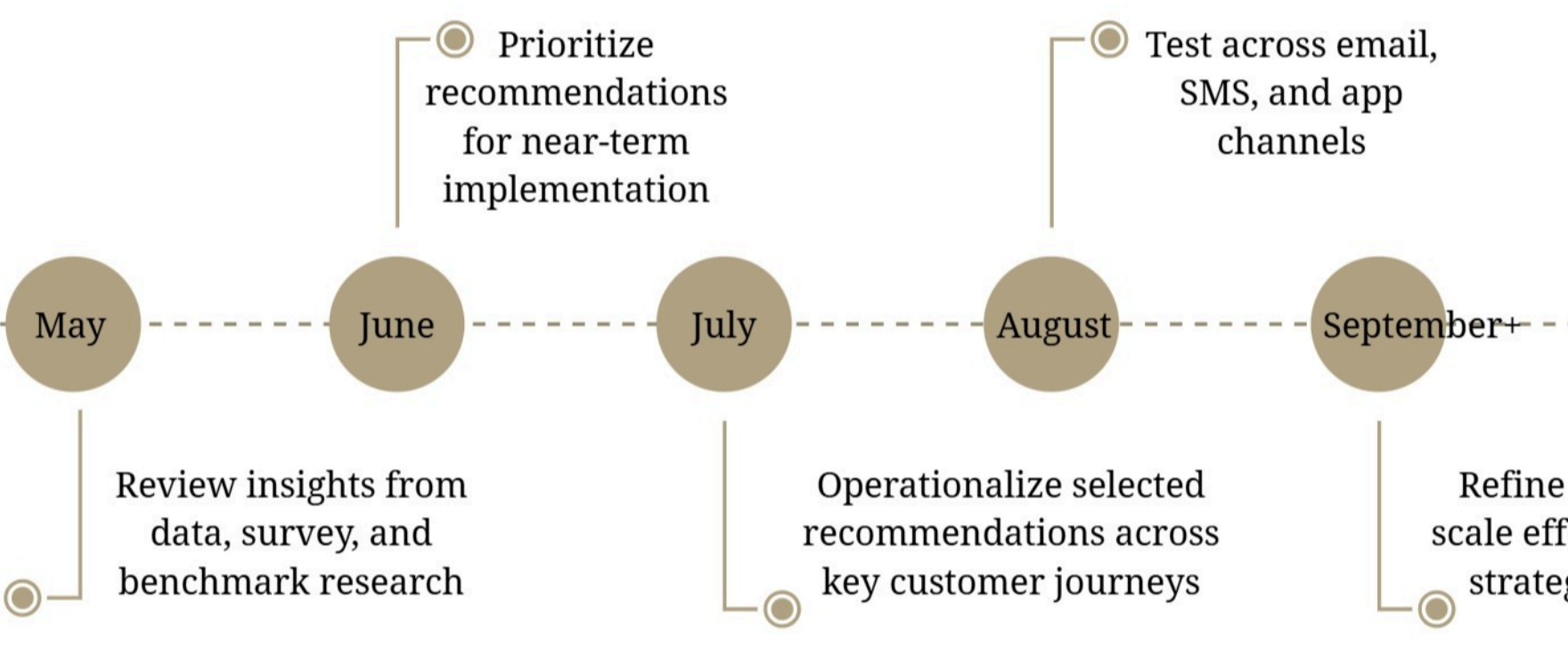


- The majority (67%) treat returns as a normal part of online shopping



## Implementation

### PILOT SURVEY



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